# Pradhan Mantri MUDRA Yojana (PMMY) Operational Guidelines

***Issuing Authority: Ministry of Micro, Small and Medium Enterprises & DFS, Govt. of India***

## 1. Scheme Mandate and Target Borrowers

The Pradhan Mantri MUDRA Yojana (PMMY) was launched by the Government of India to provide collateral-free institutional credit to non-corporate, non-farm micro and small enterprises engaged in manufacturing, trading, services, and allied agricultural activities. Loans are disbursed through Public Sector Banks, Private Banks, Regional Rural Banks (RRBs), Small Finance Banks (SFBs), and Non-Banking Financial Companies (NBFCs).

## 2. Loan Categories and Enhanced Financial Limits

MUDRA loans are structured into four progressive categories catering to the growth stages of micro-enterprises:

• Shishu: Covers loans up to Rs. 50,000 for nascent and micro start-up businesses.

• Kishore: Covers loans above Rs. 50,000 and up to Rs. 5,00,000 for businesses seeking working capital or machinery purchase.

• Tarun: Covers loans above Rs. 5,00,000 and up to Rs. 10,00,000 for established enterprises expanding operations.

• Tarun Plus: Enhanced loan category covering loans above Rs. 10,00,000 and up to Rs. 20,00,000 for entrepreneurs who have previously availed of and successfully repaid loans under the Tarun category.

## 3. Zero Collateral and Margin Money Norms

In accordance with Reserve Bank of India (RBI) guidelines, banks and lending institutions are strictly prohibited from demanding collateral security or third-party guarantees for MUDRA loans up to Rs. 10 Lakhs. Margin money requirements are concessional:

• Shishu loans: 0% margin money.

• Kishore and Tarun loans: Nominal margin money between 10% to 15%.

All MUDRA loans are covered under the Credit Guarantee Fund for Micro Units (CGFMU), eliminating credit risk for lending banks.

## 4. Interest Rates and Processing Fee Waivers

Interest rates on MUDRA loans are deregulated and linked to the bank's Marginal Cost of Funds based Lending Rate (MCLR) or external benchmark, typically ranging from 8.5% to 12.0% per annum depending on borrower profile. Lending banks charge zero processing fees and zero upfront charges for all Shishu category loans.

## 5. MUDRA Card and Digital Application Process

Borrowers sanctioned working capital credit receive a RuPay-enabled MUDRA Card, operating as a digital debit card allowing hassle-free drawing and repayment of working capital limits. Entrepreneurs can apply online via the Udyamimitra portal (udyamimitra.in) or JanSamarth portal (jansamarth.in) with basic KYC, Udyam registration, and

business quotation.